less than the real estate taxes paid to the government in the year of closing. Your attorney's closing statement should disclose the amount of this adjustment and whether it should be added to, or deducted from the amount paid to the government during the year in order to determine your proper real estate tax deduction.

If your local real estate taxes include charges for services such as trash removal or water and sewer, this portion of your taxes is not deductible. Look carefully at your copy of the real estate tax bill to determine how much you can deduct. The bill should identify services separately from taxes, which are based on the value of your property.

Calculating Your Tax Savings

To calculate how much you'll save by deducting mortgage interest and property taxes, you need to know your marginal tax rate for federal and state income taxes. You can get these rates from the tax rate schedules in your tax return packets or from the IRS website (*www.irs.gov*). In 2012, a married couple filing jointly with an income of $110,000 had an average tax rate of 17.8 percent. We'll assume a state tax rate of 6 percent, for a total of 24 percent. Multiply this rate times the amount you can claim on your income tax return for mortgage interest and property taxes to get the amount you save in income taxes. If you were married with a 26 percent combined tax rate and $10,000 in deductions, you'd save $2,600 in taxes ($10,000 × 0.26 = $2,600), a monthly savings of $217. If your mortgage interest is $1,000 a month, your actual after-tax cost is $783 ($1,000–$217 = $783).

Moreover, you may save more than this example if owning a home allows you to itemize for the first time. When you itemize, you can also deduct state income taxes, charitable gifts, investment expenses that exceed 2 percent of your adjusted gross income (AGI), and medical and dental expenses that exceed 7.5 percent of your AGI. You can file a new W-4 to claim more exemptions and have less tax taken out each week or leave your withholding as it is and get an income tax refund at the end of the year.